# Kathmandu University




# Remittance Inflow Analysis

*A Project Proposal*

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# Project Proposal

## Title: Remittance Inflow Analysis

### 1. Introduction

Remittance refers to the transfer of money by migrant workers or individuals to recipients in their home country. In Nepal, remittance plays a major role in supporting household income and the national economy. A large number of Nepali people migrate to countries such as the Gulf nations, Malaysia, India, and Saudi Arabia for employment, and the money they send back significantly contributes to family welfare and economic stability.

Over the past few years, remittance inflow in Nepal has shown continuous growth. It contributes to national income, supports household expenses, education, healthcare, and investments, and influences broader economic indicators such as Gross Domestic Product (GDP), inflation, and employment. However, dependency on remittance may also create challenges, making it important to understand its overall impact on Nepal's economy.

This project aims to analyze the relationship between remittance and key economic indicators in Nepal. The study will use historical data to examine how remittance affects GDP growth, inflation, and other economic variables. Understanding these relationships can provide useful insights for economic planning and policy development.

### 2. Objectives

The main objectives of this project are:

- To analyze the trend of remittance inflow in Nepal over time.
- To study the relationship between remittance and GDP in Nepal.
- To examine the relationship between remittance and inflation.
- To study the relationship between migration rate and remittance.
- To use statistical techniques to forecast remittance inflow trends.
- To understand the economic importance of remittance inflow in Nepal.

### 3. Data

The project will use secondary data collected from reliable national and international sources. Data includes yearly records of remittance inflow along with economic indicators such as GDP, inflation, net migration rate, and other related variables.

https://data360.worldbank.org/en/indicator/WB_KNOMAD_MRI- remittance

https://data360.worldbank.org/en/indicator/IMF_WEO_PCPI- inflation

https://www.nrb.org.np/forex- exchange rate

https://databank.worldbank.org/indicator/NY.GDP.MKTP.CD/1ff4a498/Popular-Indicators#

-gdp

https://data.worldbank.org/indicator/SM.POP.NETM?locations=NP – Net-migration

## 4. Methodology

This study will adopt a quantitative research approach. Data preprocessing, cleaning, and analysis will be conducted using statistical and descriptive methods. The project may involve:

- Descriptive analysis to study remittance trends.
- Correlation analysis to examine relationships between remittance and economic indicators.
- Regression analysis to determine the impact of remittance on GDP, inflation, and related variables.
- Predictive techniques to forecast remittance patterns based on historical data.

The findings will help identify whether remittance has a positive or negative influence on Nepal's economic development.

## 5. Conclusion

Remittance plays a critical role in Nepal's economy by supporting household income and contributing significantly to GDP and economic growth. This project seeks to provide a deeper understanding of remittance inflow factors and how remittance influences economic indicators such as GDP and inflation. The study findings may contribute to better policy decisions and economic planning for Nepal's future development.